

Econ 139

Labor Economics

UC San Diego
Fall 2025

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Teaching Assistants

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Overview

In this course, we'll explore some of the biggest questions in labor economics:

1. Why has wage inequality grown so much?
2. What explains the decline in labor's share of income?
3. Why has the labor force participation rate changed so dramatically in the last 50 years?

To answer these questions, we'll use a combination of economic theory and empirical evidence. This will take us many places, to understanding how minimum wages affect employment and inequality, to exploring how technology has impacted the nature of work, to examining how competition between firms, both inside and outside the US, shapes labor market outcomes.

Lectures

There will be three lectures per week. All in-person lectures will be recorded and posted after the lecture via podcast.

Course Materials

All of the course materials will be made available through Canvas. A key theme in labor economics is the importance of data. We will use statistical software to analyze data, but the software will be free, with instructions to download on the Canvas page. There will also be a number of outside readings for the course which will be included in Canvas, as well as an online textbook available here: <https://daarnolducsd.github.io/econ139/>.

Assessment

Your grade will be based on a combination of:

- **Participation (5%):** I will take attendance in class. As long as you attend 70% or more of the classes, you will receive a 100 percent score on participation.

- **Problem Sets (3)** (15% total, 5% each): There will be three problem sets due throughout the quarter. You will have a week and half to finish each problem set.
- **Reflections** (5% total): These will be short reflections on reading assignments
- **Midterm** (20%): The Midterm will be held in class on **Wednesday October 29th**. **You need to be available at the to take the midterm on the scheduled midterm date. Exceptions are made only for verifiable medical, legal or sports reasons.**
- **Presentation** (20%): This will be a presentation where you record yourself on zoom and post to Canvas (i.e. not in-person in front of the class). As part of this assignment, however, you will be assigned a group where you will need to watch and give feedback to presentations for everyone in your group.
- **Final** (35%): The final will be a cumulative exam and will be held on Tuesday December 9th at RWAC 0121. **You need to be available at the to take the midterm on the scheduled midterm date. Exceptions are made only for verifiable medical, legal or sports reasons.**

Academic Honesty and Plagiarism

All graded work must be done by you. If you are unfamiliar with the University's policy on academic integrity, please see <http://senate.ucsd.edu/Operating-Procedures/Senate-Manual/Appendices/2>. There is a zero-tolerance policy for academic integrity violations, and if you are found to have violated the University's academic integrity policy you will receive a failing grade in the course.

Course FAQs

1. **What do I need to buy for the course?** Nothing. The readings will be provided through Canvas. We will also use software in the class to analyze data, but these will also be provided for.
2. **Are there any technology requirements:** We will be using statistical software in the class. You will have the choice to perform data analysis in either Excel or R (you can also do these in Stata or Python, though I expect Excel and R will be the most popular choices). You can download these on either PCs or Macs, but **chromebooks are very difficult to download the programs on**. There are computers in the library that have these programs installed. The Data and GIS lab: <https://library.ucsd.edu/computing-and-technology/data-and-gis-lab/index.html> has computers that have these programs. There is also a possibility for a long-term loaner laptop from the University. Please go here: <https://library.ucsd.edu/computing-and-technology/computing/index.html> to receive more information.

3. **I have a question about the course, where should I go to ask this question?**
 - a. First, check the course website and the syllabus.
 - b. If you still can't find the answer to your question, you can ask it on Piazza (see the Piazza tab from within Canvas). **This should be where you post most of your questions. Please, however, do not post questions that include answer to problem sets**
 - c. If you have a question related to the course that you don't think is relevant for other students, you can send an email to your TA or my email at daarnold@ucsd.edu
4. **I'm on the waitlist, what are my chances of getting off?** Waitlists at UCSD are automated, and I can't manually allow anyone off the waitlist. While we try to expand the class when there is excess demand, we are sometimes constrained by classroom size and TA availability.
5. **I think a question on midterm/final was graded incorrectly** For midterms and finals, regrade requests will be done through Gradescope. For a regrade request, please state clearly why you think your solution was graded incorrectly.

Course Topics

The schedule below lays out the schedule for topics in the course. This is a rough guide of how the course will progress and depending on the amount of time available, we may not cover every topic.

Topic 1: Perfect Competition in Labor Markets

Topic 2: The Minimum Wage

Topic 3: Monopsony (Theory)

Topic 4: Monopsony (Empirics)

Topic 5: Unions and Rent-Sharing

Topic 6: Technology: A Task Approach

Topic 7: Technology: Automation and the Future of Work

Topic 8: Trade

Topic 9: Labor Supply

Topic 10: Discrimination